RetailCo: Automating the Front Line

Should a mid-sized UK online retailer let an AI agent answer its customers, and issue their refunds?

> Professor Vikram Singh Sankhala prepared this case solely as the basis for class discussion. RetailCo and every person named in it are fictional; company figures are constructed for teaching and are realistic for a UK online retailer of this size. Industry statistics in the text and in Exhibits 13 and 14 are real and cited to their published sources, as they stood in September 2024. The case is not intended to serve as an endorsement, a source of primary data, or an illustration of effective or ineffective management.

Monday, 23 September 2024

The weekly service report reached Priya Raman's inbox at 7:42 a.m., and she read it twice before she took off her coat. Customers were waiting an average of 4.2 hours for a first reply. The satisfaction score, 78% when she had accepted the job of Director of Customer Operations at RetailCo, was 61%. Two more team leaders had resigned the previous week, the sixth and seventh that year. And the agency that supplied RetailCo's overflow staff had written to say that its Christmas rates would rise by 18%.

Under the report sat a two-line note from the chief executive, Andrew Whitfield: "Board on 14 October. I want one recommendation for support, not a menu. Cost has to stop growing at 22% a year and service has to recover before next year's Black Friday. If AI is the answer, show me why it won't embarrass us."

Priya had been in the job for nine months. She had arrived from a telecommunications company where she had run a contact centre of 600 people, and she had been hired, in Whitfield's words, "to make support a strength again". Instead every number she owned had moved the wrong way. Four options were on the table, each with a senior champion, and a fifth was being argued over in the engineering team. The board paper was due on 7 October. The decision would shape RetailCo's customer experience, its cost base, and the working lives of the 104 people on her floor in Leeds.

RetailCo

RetailCo was founded in Leeds in 2011 by two former department-store buyers, Andrew Whitfield and Claire Dunmore, as an online seller of kitchenware. Its early growth came from a simple promise printed on every box: "Great kit, honest prices, delivered when we say." By 2016 the company had moved into home and garden, small appliances and electronics accessories, and opened a second warehouse in Northampton to serve the south of England.

The pandemic transformed the business. As homes became offices, classrooms and gyms, RetailCo's revenue rose by 23% in 2020/21 and kept growing. By the 2023/24 financial year, which ended in March, RetailCo had revenue of £180M, 1.2 million active customers, 3.4 million orders at an average value of about £53, and

a catalogue of 45,000 SKUs (Exhibits 1 and 2). It employed 620 people. Revenue had grown 14% that year, but the operating margin was only 4.1%, and the board scrutinised every overhead line. "We are a low-margin business with high expectations," Martin Hale, the chief financial officer, liked to say. "Every pound of cost has to earn its keep."

RetailCo sold only online, through its own website and app. Unlike the large marketplaces, it did not have the scale to negotiate the lowest delivery rates, and unlike the specialist boutiques, it could not charge premium prices. Its strategy depended on being reliably good: a broad range, fair prices and service that customers trusted. Exhibit 3 shows the company's organisation and Exhibit 4 the timeline of events that brought it to September 2024.

The industry

Online retail in Great Britain had settled after the pandemic surge. According to the Office for National Statistics, internet sales accounted for 19.2% of all retail sales in 2019, peaked at 30.7% in 2021, and settled at 26.6% in 2022 and 26.7% in 2023 (Exhibit 13). Growth now meant taking share from competitors rather than riding a rising tide, and customer experience was one of the few levers mid-sized retailers could pull.

Yet service quality across the UK economy was falling. The Institute of Customer Service's UK Customer Satisfaction Index stood at 75.8 out of 100 in July 2024, 0.8 points lower than a year earlier and 2.6 points below its July 2022 high. The Institute estimated that 65% of employees spent an average of 3.3 days a month dealing with service failures, at a cost to the British economy of £6.8bn a month. Customers had more choice than ever and less patience.

Into this market came generative AI. In February 2024 the payments company Klarna announced that its AI assistant had handled 2.3 million conversations in its first month, about two-thirds of its customer service chats, doing work it equated to 700 full-time agents, cutting resolution time from 11 minutes to under two, and reducing repeat enquiries by 25%, with customer satisfaction on par with human agents. A study of about 5,000 support agents by economists at Stanford and MIT, published by the US National Bureau of Economic Research in 2023, found that agents given an AI assistant resolved 13.8% more issues per hour, with the largest gains, around 35%, among the least experienced. McKinsey had estimated in 2023 that generative AI could raise productivity in customer care by 30 to 45% of current function costs (Exhibit 14).

The evidence was not all one way. In a Gartner survey of 5,728 customers published in July 2024, 64% said they would prefer that companies did not use AI for customer service, and 53% said they would consider switching to a competitor if they learned a company was going to use it. Their biggest worries were that it would become harder to reach a person, that AI would

displace jobs, and that it would give wrong answers. Two widely reported incidents sharpened the last concern. In December 2023 a car dealership's website chatbot in California was coaxed by a user into "agreeing" to sell a new SUV for one dollar and calling it a "legally binding offer". And in February 2024 a Canadian tribunal ordered Air Canada to compensate a passenger after its chatbot gave him incorrect information about bereavement fares; the airline's argument that the chatbot was responsible for its own words was rejected.

The delivery problem

For most of its history RetailCo had used a single premium carrier. Its parcels arrived on time 95% of the time, and they cost an average of £4.10 each to deliver. In March 2023, with delivery costs rising and margins thin, the operations team moved to a mix of three national carriers allocated by price. The average cost per parcel fell to about £3.40, a saving the finance team estimated at £2.4M a year on 3.4 million orders.

The saving came with a price that was slower to appear. On-time delivery fell from 94% to 86% within two quarters (Exhibit 9). The cheapest of the three carriers delivered only 79% of parcels on time; its tracking data lagged by up to a day; and its API had been available 99.1% of the time in the most recent quarter, against the 99.9% promised in its contract. Customers who could not see where their parcel was contacted RetailCo instead. Contacts per order, which had been 1.1 in 2021/22, had reached 1.6 by the summer of 2024 (Exhibit 2).

In January 2024, to repair trust, RetailCo launched a *Late Delivery Guarantee*: a full refund for any order arriving seven or more days after its expected date, and a £5 goodwill credit for orders three to six days late (Exhibit 10). Marketing had pushed hard for it. "Customers were telling us we'd broken our promise," said Claire Dunmore, now the Chief Customer Officer. "The guarantee says we'll make it right, every time." By August, refunds under the guarantee were running at about 3,400 a month and rising, and the annualised cost of refunds and credits had reached about £2.8M (Exhibit 10). The guarantee had also created a new kind of contact: customers asking whether they qualified, and when their refund would arrive.

Customer Operations

Customer Operations occupied the second floor of the Leeds head office. It handled more than 15,000 interactions a day: about 8,000 by web chat, 4,500 by email and 2,500 by phone. Around 2,800 of these ended without reaching a person: emails closed by an automatic reply containing a tracking link, and calls resolved by the phone menu. The remaining 12,200 reached one of RetailCo's 92 agents or 12 team leaders, or the outsourced overflow team that took the excess at peak times (Exhibit 6). The fully loaded cost of an interaction handled by an

agent was £0.72, and the operation cost £3.2M in 2023/24, up 22% on the year before and 49% on two years before (Exhibit 8).

Contact reasons were remarkably concentrated. Sixty-eight per cent of contacts were what the team called tier-1: "where is my order?" (31%), late-delivery refunds and refund status (17%), full-order returns (12%) and address or delivery changes (8%). Another 20% were tier-2 issues such as damaged items, product questions and payment queries, and 12% were complex cases: complaints, partial returns and possible fraud (Exhibit 5).

Agents worked in a commercial helpdesk that received email and chat and linked each ticket to a customer. To answer a typical tier-1 question, an agent opened four systems: the helpdesk; the order database, which RetailCo's engineers had built in-house on PostgreSQL; the relevant carrier's tracking site; and, for refunds, the payment provider's console. A time study in July found that 41% of the time spent on a "where is my order?" contact went on moving between those systems, and only 20% on writing to the customer (Exhibit 11). Agents could issue refunds up to £200 themselves. Larger refunds needed a team leader's approval, requested in a channel on the company's team-chat tool, which on a busy day could take hours.

The work was repetitive, and the staff survey said so. Eighty-one per cent of agents agreed that "most of my work is the same few tasks"; only 34% agreed that "I have the tools I need to do my job well"; and the employee net promoter score for the department was −22 (Exhibit 11). Annualised attrition had risen from 22% to 35% in eighteen months (Exhibit 7). Each leaver took about six weeks to replace and train, during which colleagues carried the extra volume, and response times rose further.

"I can do a WISMO in my sleep," said Tom Barker, a senior team leader who had worked on the floor for seven years. WISMO, for "where is my order?", was the team's word for its most common contact. "That's the problem. People join to help customers and spend the day copying tracking numbers between screens. The good ones leave first."

Customers noticed. Comments in the post-contact survey had grown sharper through the year (Exhibit 12). "Waited all day for a reply that just pasted the tracking link I'd already seen," wrote one. "Third time I've asked about my refund. Third different answer," wrote another.

A day on the floor

On the Thursday after the report, Priya spent a shift beside Aisha, an agent with eight months' experience. By 9:15 Aisha had three chats open and forty-one emails waiting. The first chat was a customer whose blender was four days late; Aisha checked the order, opened the carrier's site, found the parcel at a depot in Wakefield, checked the guarantee rules, added a £5

credit, and wrote a reply. It took six minutes, of which perhaps one was spent thinking about the customer. The second chat was the same question about a different parcel. The third was a customer who wanted a refund of £260 for a late sofa cushion set; Aisha posted in the approvals channel and told the customer someone would be in touch. When Priya checked at 2 p.m., the approval was still waiting.

In the afternoon Aisha took a call from an elderly customer who had been charged twice and was frightened that her card had been stolen. It took twenty minutes, and Aisha handled it with patience and skill. "That's the bit I like," she told Priya afterwards. "Actually helping someone. I just never get time for it."

An earlier attempt

RetailCo had tried automation before. In 2021 the previous head of support bought a menu-driven chatbot that asked customers to pick from buttons ("Track my order", "Returns", "Something else"). Within three months, 70% of conversations that started with the bot ended with the customer typing "agent" or choosing "Something else", and the bot was quietly switched off. The episode left a mark. "The last robot made customers angrier and gave us more work," Tom Barker told Priya. "People on the floor remember."

The options

By mid-September four options had been costed by Priya's team and the finance department, and a fifth by the engineering team (Exhibit 15).

A. Hire. Add 40 agents before the next peak. Workforce planning estimated that first response would return below two hours within about five months, at an extra £1.1M a year. Hiring did nothing about the repetitive nature of the work or the attrition it caused, and the Leeds market for experienced agents was tight.

B. Outsource tier-1. A business-process outsourcing firm offered to take all tier-1 contacts at £0.38 per interaction from an offshore centre, under a three-year contract with service-level penalties and a four-month transition. Martin Hale favoured it. "A fixed price per contact, a contract with penalties, and attrition becomes their problem, not ours," he said. Priya worried about quality, about the knowledge her best agents held, and about how hard it would be to bring the work back if it went wrong.

C. A scripted chatbot. The helpdesk vendor sold a decision-tree chatbot for £180,000 a year. It could answer fixed questions and collect order numbers, but it could not take actions

such as refunds. The vendor's own reference customers reported that many conversations ended with a request for a person, and the 2021 experience made Priya sceptical.

D. Build an AI agent in-house. Daniel Reyes, the chief technology officer, proposed that a team of five engineers build an agent on Claude, Anthropic's family of large language models, using Anthropic's agent development kit and Claude Code, an AI coding assistant, to speed up the build. The agent would read a customer's message, look up the order and tracking, apply the Late Delivery Guarantee, issue refunds within limits, and pass anything else to a person with the case already summarised. Daniel estimated twelve weeks to a pilot on web chat and £350,000 for the first year of build, with a running-cost target below £0.15 per interaction (Exhibit 16). "We already own every system it needs to talk to," he said. "The hard part isn't the model. It's the controls around it, and that's engineering we know how to do."

E. Buy an AI agent platform. Two vendors offered hosted AI agents priced per resolved conversation, at £0.60 to £0.95 per resolution, with integration projects of three to six months. Both had polished demonstrations. Neither would explain in detail how their agents decided whether to issue a refund, and both wanted customer data to be processed in their own cloud environments rather than RetailCo's.

The concerns

Risk and compliance. Fiona Okafor, Head of Risk and Compliance, had circulated the Air Canada decision to the executive team with one line: "Read paragraph 27." She set out her position in a memo to Priya (Exhibit 17). "I am not against automation. I am against a system that can give away money or make promises we haven't approved, and can't tell us afterwards why it did. Under consumer law, what that bot tells a customer is what we told the customer. And under UK GDPR, I need to know where every customer's data goes and why." Her memo listed five conditions for any AI option: no customer may ever see another customer's data; refunds above £200 must still be approved by a person; every decision must be traceable after the event; customers must be told they are talking to an AI assistant; and there must be a way to switch the system off immediately.

The floor. Tom Barker raised a different concern at the monthly team meeting. "Everyone here knows what 'automation' usually means. If this is about cutting jobs, say so. If it's about taking away the work nobody wants so we can do the hard cases properly, say that, and mean it." Priya had already secured Whitfield's agreement that there would be no compulsory redundancies as a result of any change made in the next twelve months. With attrition at 35%, about 36 people would leave in a year in any case.

Finance. Martin Hale wanted payback and an exit. "Show me the payback, and show me what happens if it doesn't work. I don't want to be twelve weeks and £350,000 in with nothing to show for it." He was also uneasy about the guarantee. "We saved £2.4M on carriers and we're paying out nearly £2.8M in refunds and credits. Nobody planned it that way."

Engineering. Daniel Reyes was confident about building and candid about the gap. His team of 40 engineers had never shipped an AI system to customers. "We can build it," he said. "What I don't know yet is how we'll know it's good enough. We need to decide that before we write any code, not after."

Marketing. Claire Dunmore worried about the brand. "Sixty-four per cent of customers say they'd rather we didn't use AI. If we do it, it has to be better than what they get now, and it has to be obvious that a person is there when they need one."

The decision

Priya spent the weekend at her kitchen table with the exhibits. The numbers argued for acting quickly: another year of 22% cost growth would take the support bill to about £3.9M, and the Black Friday peak would push response times higher still. But each option carried a different kind of risk. Hiring was slow and did not change the work. Outsourcing was predictable but hard to reverse. The scripted bot was cheap but had failed before. Buying a platform was faster but opaque, and expensive per resolution. Building was the most controllable option and the least proven.

She kept returning to two lines. The first was in Exhibit 2: contacts per order had risen from 1.1 to 1.6. "A third of our volume exists because parcels are late," she wrote in her notes. "Whatever we choose, we should not just get better at apologising." The second was Fiona's question, which Priya had written on a sticky note and stuck to her laptop: *How will we know, afterwards, why it did what it did?*

The board paper needed four things: a recommendation, the targets by which it would be judged, the conditions under which it would be stopped, and a plan for the people on the floor. She opened a blank document and typed the title: *Support 2025: Recommendation to the Board*.

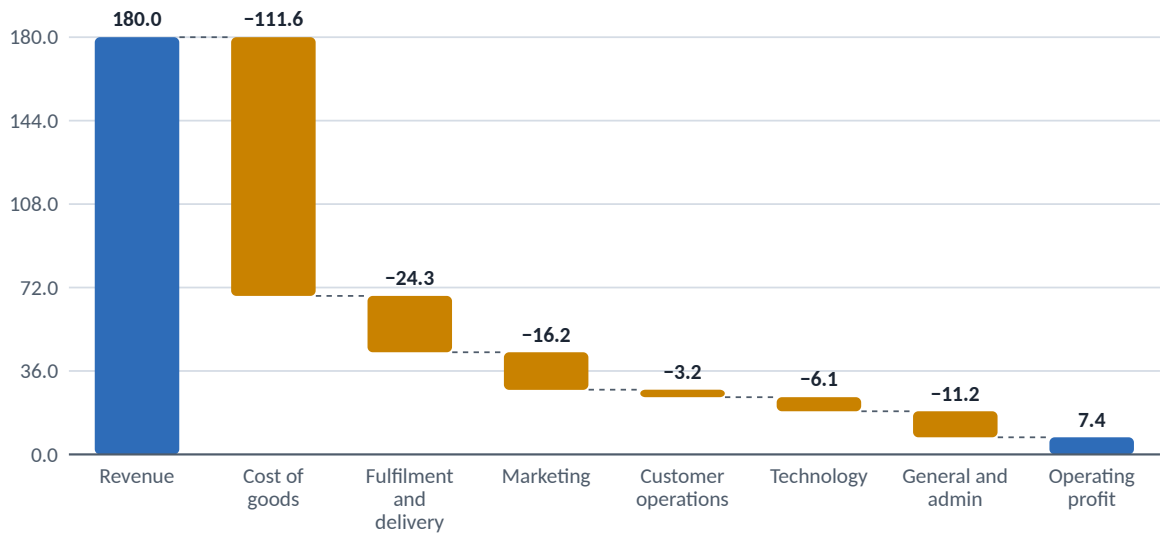
Assignment questions

1. **Diagnosis.** What is RetailCo's real problem: cost, service quality, staff attrition or contact volume? Use Exhibits 2, 8, 9 and 10. How would your diagnosis change the recommendation?

2. **Strategy evaluation.** Compare options A to E on annual cost, time to impact, risk, reversibility, control and effect on staff. Which would you recommend to the board, and why? Could options be combined?
3. **Economics.** Using Exhibits 5, 6, 8 and 15, estimate the net annual benefit of an agent that handles all web-chat contacts, resolving 75% without a person, at £0.15 per interaction. At what resolution rate does it break even in year one? What assumptions matter most?
4. **The carrier decision.** Using Exhibits 9 and 10, was the 2023 carrier change a good decision? What should Priya say about it in her board paper?
5. **Success.** If the board approves option D, define success: five targets, each with a number, a data source, an owner and a baseline, and at least two guard-rail metrics that must not get worse.
6. **Controls.** Take Fiona Okafor's five conditions (Exhibit 17). For each, describe a control that would hold even if the AI model were deceived by a malicious customer.
7. **People.** What should Priya tell Tom Barker and the support team, and when? What new roles might the floor need?
8. **Stop conditions.** Write the three conditions you would put in the board paper that would make RetailCo pause or reverse the rollout.

Exhibits

EXHIBIT 1 · INCOME STATEMENT, FINANCIAL YEAR TO MARCH 2024 (£M)

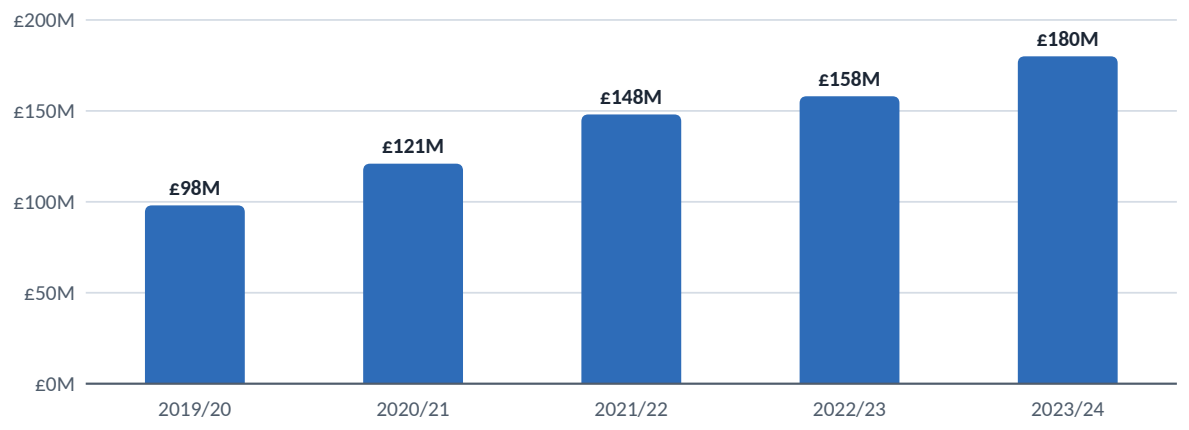


Revenue of £180.0M falls to an operating profit of £7.4M (4.1%). Customer operations is 1.8% of revenue.

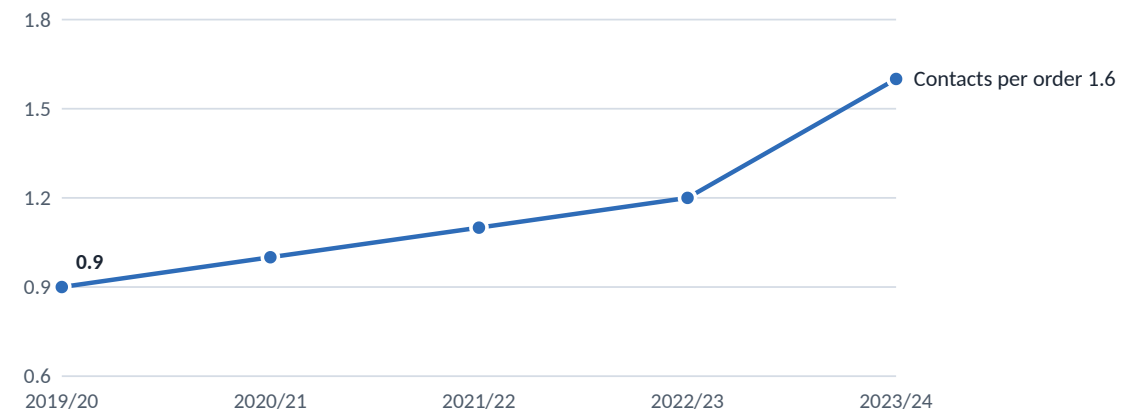
Line	£M	% of revenue
Revenue	180.0	100.0%
Cost of goods	111.6	62.0%
Fulfilment and delivery	24.3	13.5%
Marketing	16.2	9.0%
Customer operations	3.2	1.8%
Technology	6.1	3.4%
General and admin	11.2	6.2%
Operating profit	7.4	4.1%

Source: RetailCo management accounts. Revenue is stated net of refunds.

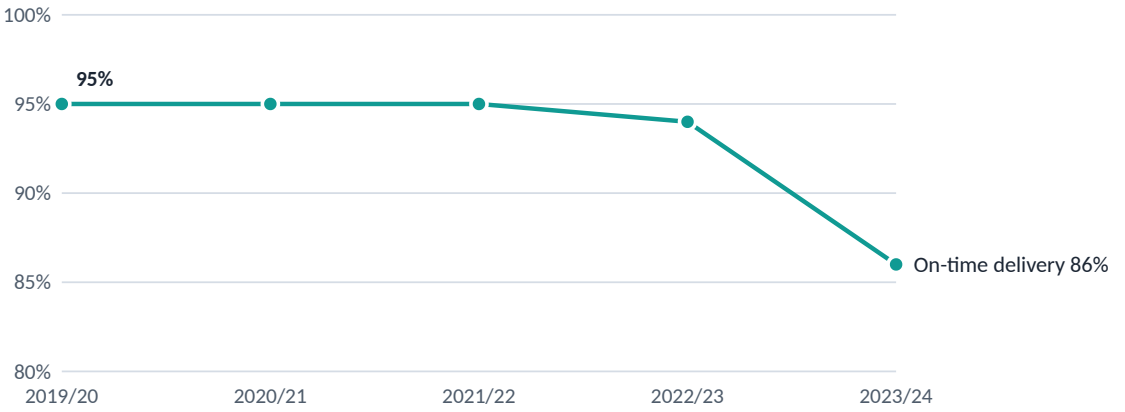
EXHIBIT 2 · FIVE-YEAR OPERATING HISTORY



2a Revenue, £M. Growth slowed from 23% in 2020/21 to 14% in 2023/24.



2b Contacts per order. The 2023/24 value is the run-rate in the third quarter of 2024.

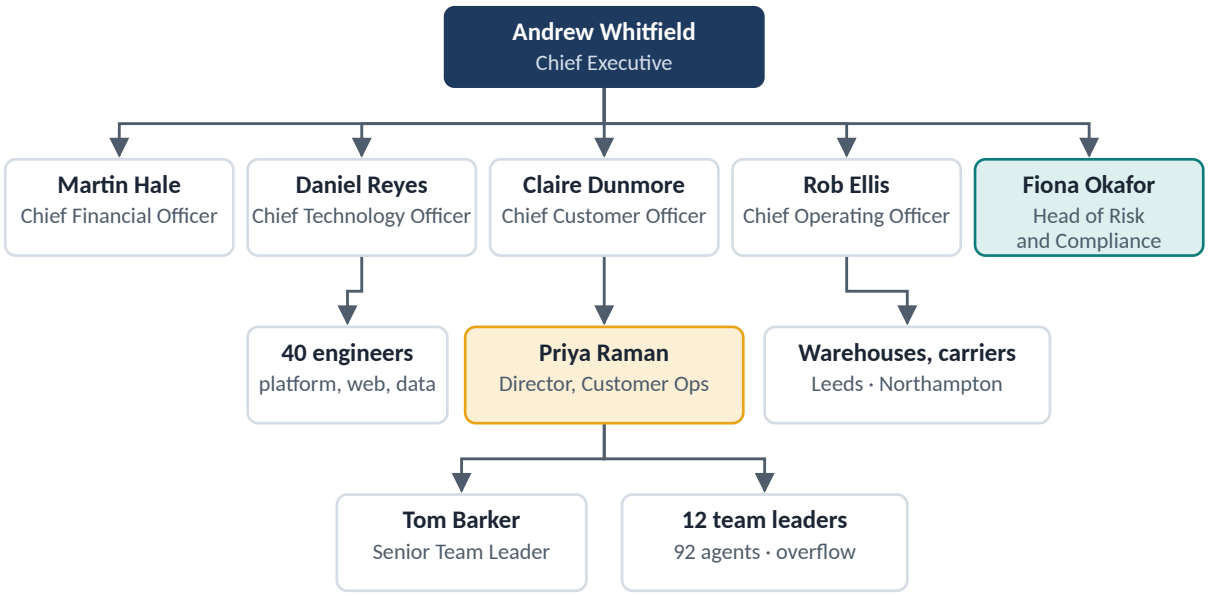


2c Parcels delivered on or before the promised date.

	2019/20	2020/21	2021/22	2022/23	2023/24
Revenue (£M)	98	121	148	158	180
Orders (M)	1.9	2.3	2.8	3.0	3.4
Active customers (M)	0.62	0.79	0.98	1.06	1.2
Operating margin	5.2%	6.8%	5.9%	4.6%	4.1%
On-time delivery	95%	95%	95%	94%	86%
Contacts per order	0.9	1.0	1.1	1.2	1.6
Support cost (£M)	1.45	1.80	2.15	2.62	3.20
Employees	310	390	480	540	620

Source: RetailCo management accounts and operations reports.

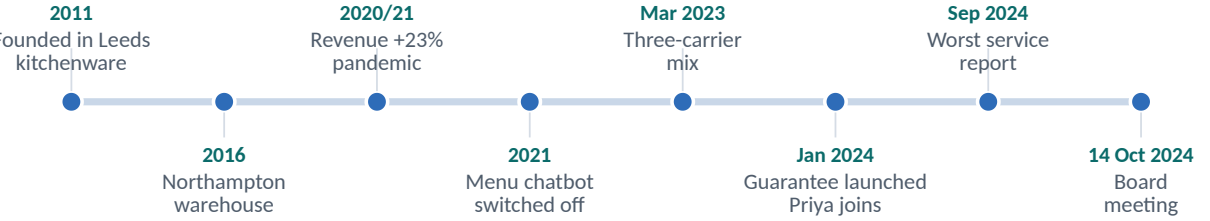
EXHIBIT 3 · ORGANISATION, SEPTEMBER 2024 (SIMPLIFIED)



Highlighted: the decision owner (amber) and the risk function (teal).

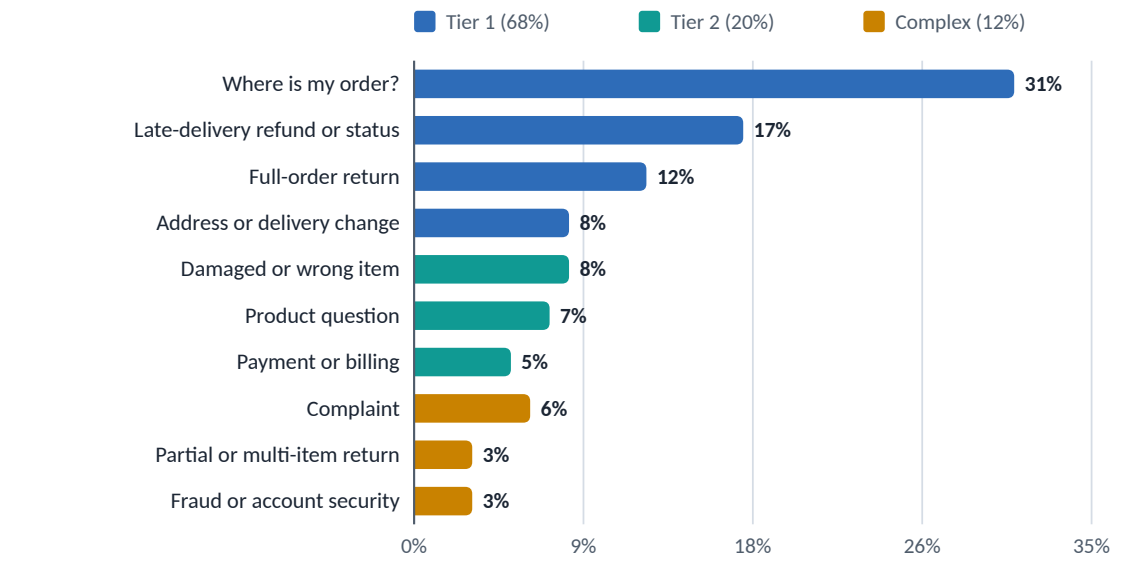
Source: RetailCo human resources.

EXHIBIT 4 · TIMELINE



Source: Company records.

EXHIBIT 5 · CONTACTS BY REASON, SEPTEMBER 2024 (DAILY AVERAGE 15,000)

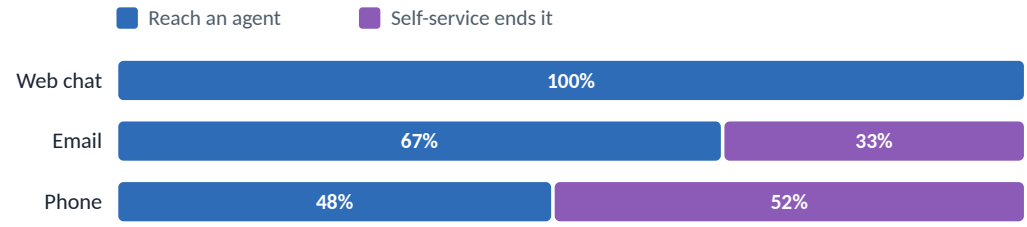


Share of all contacts. Tier 1 is repetitive and rule-based.

Reason	Tier	Share	Per day
Where is my order?	Tier 1	31%	4,650
Late-delivery refund or status	Tier 1	17%	2,550
Full-order return	Tier 1	12%	1,800
Address or delivery change	Tier 1	8%	1,200
Damaged or wrong item	Tier 2	8%	1,200
Product question	Tier 2	7%	1,050
Payment or billing	Tier 2	5%	750
Complaint	Complex	6%	900
Partial or multi-item return	Complex	3%	450
Fraud or account security	Complex	3%	450

Source: RetailCo helpdesk data, September 2024.

EXHIBIT 6 · CONTACTS BY CHANNEL AND HOW THEY END (PER DAY)

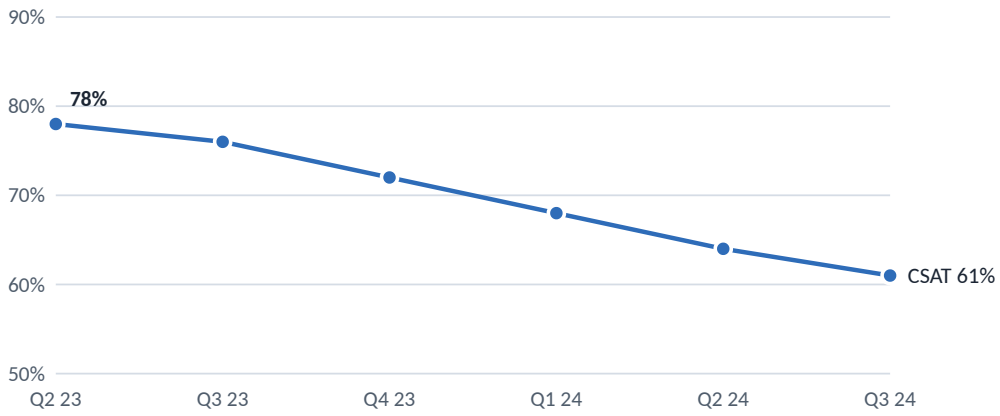


All web chats reach an agent; email auto-replies and the phone menu resolve 2,800 contacts a day.

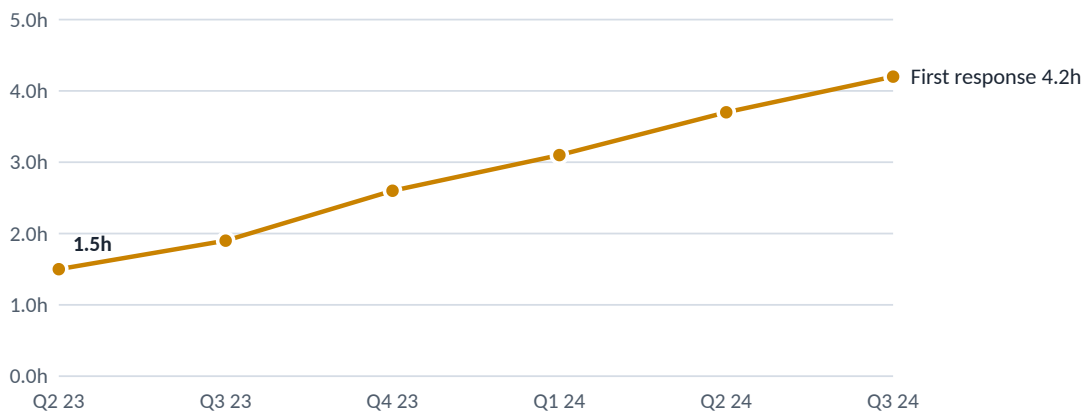
Channel	Contacts	Reach an agent	Self-service	Share of all contacts
Web chat	8,000	8,000	0	53%
Email	4,500	3,000	1,500	30%
Phone	2,500	1,200	1,300	17%
Total	15,000	12,200	2,800	100%

Source: RetailCo helpdesk and telephony data, September 2024.

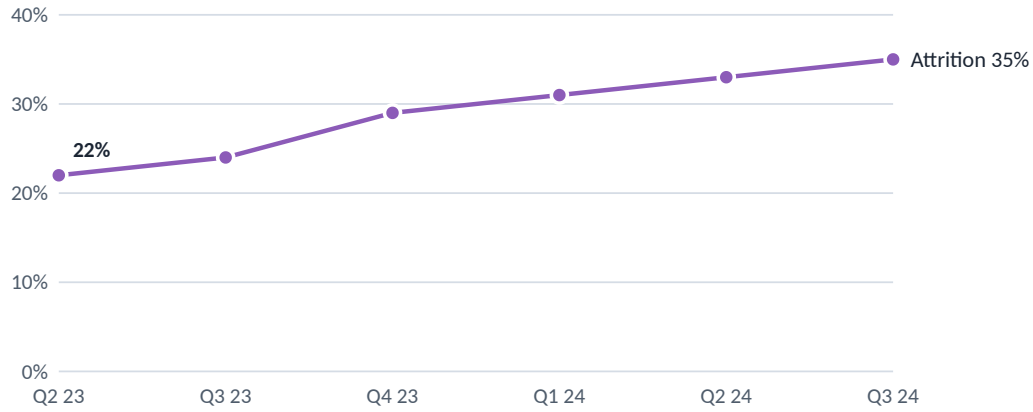
EXHIBIT 7 · SERVICE TREND OVER SIX QUARTERS



7a Customer satisfaction (post-contact survey).



7b Average time to first reply, hours. The board's benchmark is one hour.

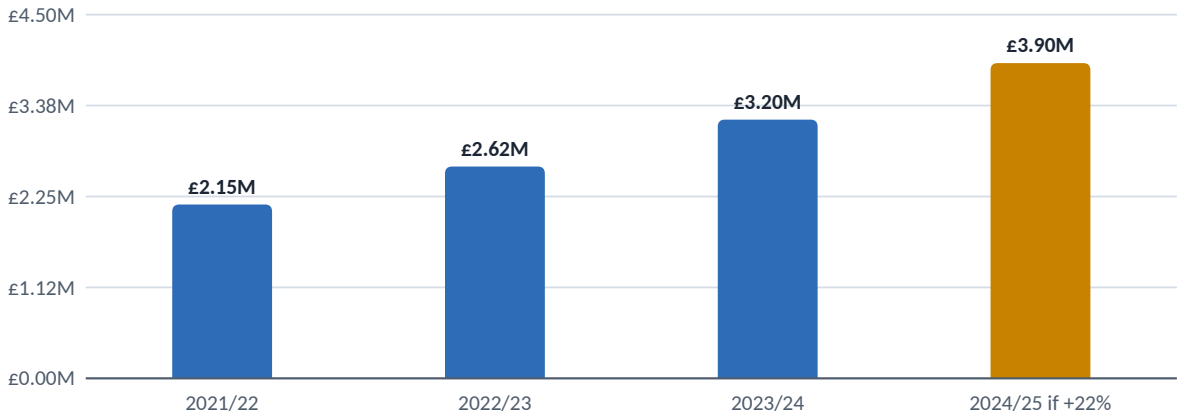


7c Annualised agent attrition.

Quarter	Contacts per day	First response (h)	CSAT	Attrition
Q2 23	11,900	1.5	78%	22%
Q3 23	12,300	1.9	76%	24%
Q4 23	15,800	2.6	72%	29%
Q1 24	13,400	3.1	68%	31%
Q2 24	14,100	3.7	64%	33%
Q3 24	15,000	4.2	61%	35%

Source: RetailCo weekly service reports.

EXHIBIT 8 · COST OF CUSTOMER OPERATIONS

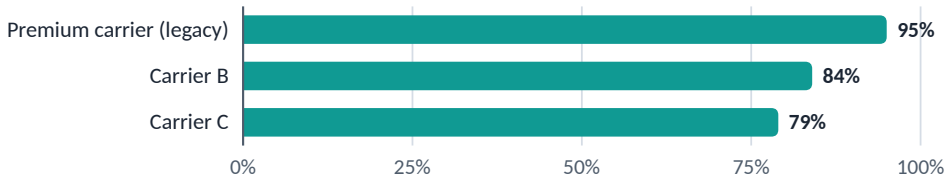


Annual cost, £M. The last bar is a projection at the current growth rate.

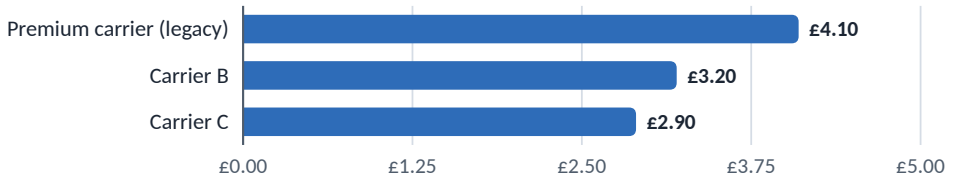
Item, 2023/24	Value
92 agents and 12 team leaders, fully loaded	£2.80M
Outsourced overflow contract	£0.40M
Total	**£3.20M** (+22% on 2022/23)
Contacts reaching an agent per year (12,200 a day)	4.45M
Cost per agent-handled contact	**£0.72**

Source: RetailCo finance.

EXHIBIT 9 · CARRIER PERFORMANCE AFTER THE MARCH 2023 CHANGE



9a On-time delivery, July–September 2024.

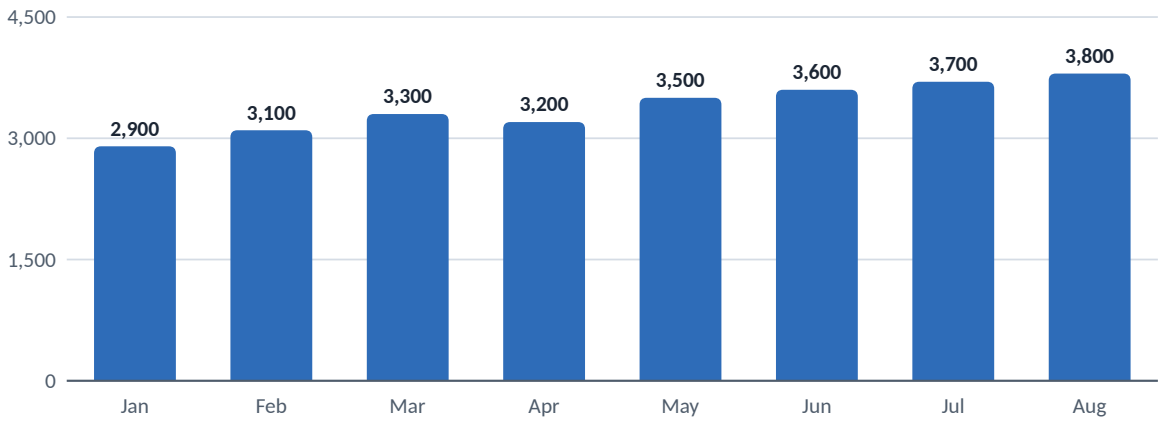


9b Average cost per parcel.

Carrier	Share of parcels	On-time	Cost per parcel	API availability (quarter)
Premium carrier (legacy)	30%	95%	£4.10	99.95%
Carrier B	45%	84%	£3.20	99.6%
Carrier C	25%	79%	£2.90	99.1%
Weighted mix	100%	86%	£3.40	—
Before March 2023 (premium only)	100%	95%	£4.10	99.95%

Source: RetailCo logistics. Saving estimated by finance at £0.70 per parcel on 3.4M parcels, about £2.4M a year.

EXHIBIT 10 · THE LATE DELIVERY GUARANTEE: RULES AND COST



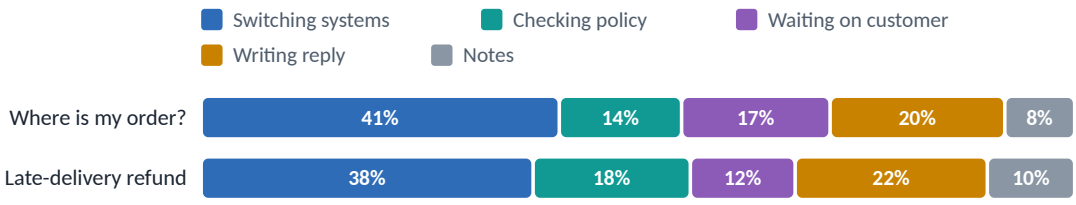
10a Full refunds issued under the guarantee each month in 2024.

Rule	Detail
7 or more days after expected delivery	Full refund of order total to original payment method
3 to 6 days late	£5 goodwill credit; no refund
Refunds above £200	Team-leader approval (about 3% of eligible refunds)
Refund timing	3 to 5 business days
Full-order returns	Within 30 days of delivery; prepaid label
Partial returns	Returns team only
Address changes	Only before dispatch

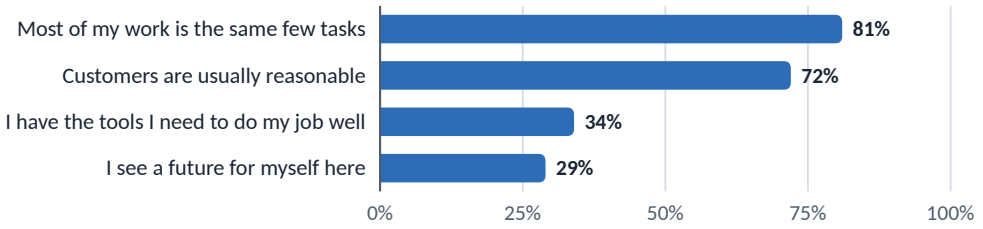
Annualised cost (run-rate, August 2024)	Orders	Value
Orders 7+ days late (1.2% of orders), refunded at £53	40,800	£2.16M
Orders 3–6 days late (3.8%), £5 credit	129,200	£0.65M
Total		**£2.81M**

Source: RetailCo finance and customer operations.

EXHIBIT 11 · HOW AGENTS SPEND THEIR TIME, AND WHAT THEY SAY



11a Share of handling time for two tier-1 contact types, July 2024 time study (n = 400 contacts).



11b Staff survey, August 2024 (n = 88 agents). Employee net promoter score: −22.

Statement	Agree
Most of my work is the same few tasks	81%
Customers are usually reasonable	72%
I have the tools I need to do my job well	34%
I see a future for myself here	29%
Employee net promoter score	−22

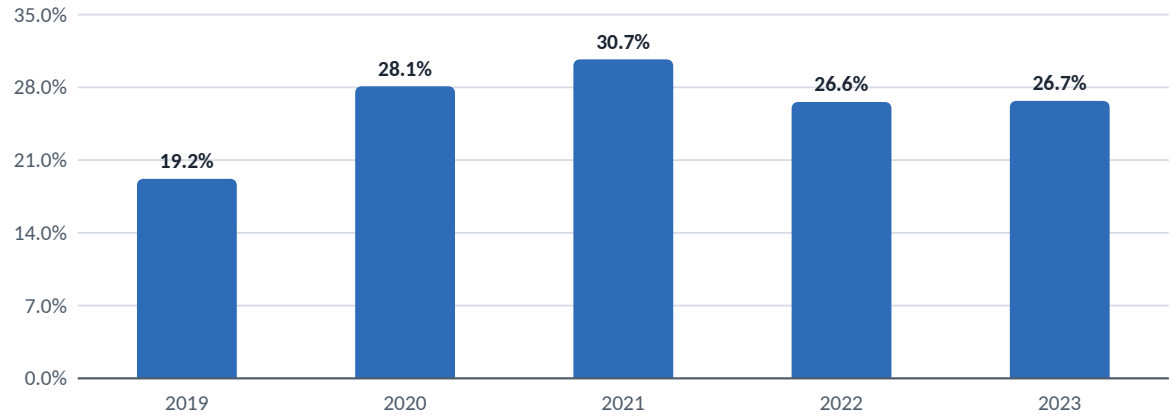
Source: RetailCo customer operations and human resources.

EXHIBIT 12 · WHAT CUSTOMERS WROTE, POST-CONTACT SURVEY, AUGUST–SEPTEMBER 2024

Score (1–5)	Comment
1	Waited all day for a reply that just pasted the tracking link I'd already seen.
1	Third time I've asked about my refund. Third different answer.
2	Nice person on the chat, but she had to 'check with a manager' for a refund you promised.
2	Your guarantee is great if you can get anyone to apply it.
4	Sorted quickly in the end, thanks Aisha.
5	Late, but the £5 credit and the honest update made up for it.

Source: RetailCo survey tool. Comments selected by the case writer to show the range.

EXHIBIT 13 · UK INDUSTRY CONTEXT, AS OF SEPTEMBER 2024

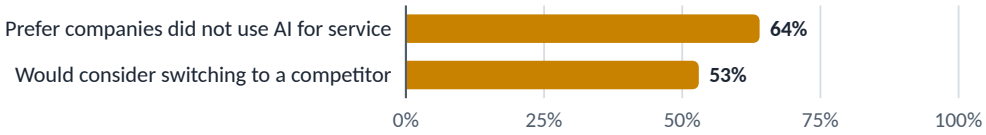


13a Internet sales as a percentage of total retail sales, Great Britain, annual.

Indicator	Value	Source
Internet share of GB retail sales, 2023	26.7%	Office for National Statistics, series J4MC
UK Customer Satisfaction Index, July 2024	75.8 (−0.8 on July 2023; −2.6 on July 2022 high of 78.4)	Institute of Customer Service, UKCSI
Employees dealing with service failures	65%, 3.3 days a month on average	Institute of Customer Service, July 2024
Monthly cost of poor service to UK economy	£6.8bn	Institute of Customer Service, July 2024

Source: ONS J4MC; Institute of Customer Service, UKCSI July 2024, as reported by The Retail Bulletin.

EXHIBIT 14 · AI IN CUSTOMER SERVICE: EVIDENCE AVAILABLE IN SEPTEMBER 2024



14a Gartner survey of 5,728 customers, December 2023, published July 2024.

Organisation or study	Date	Finding
Klarna AI assistant	Feb 2024	2.3M conversations in first month, about two-thirds of service chats; work of about 700 FTE; resolution under 2 minutes (was 11); repeat enquiries −25%; satisfaction on par with humans; estimated $40M profit improvement in 2024
Brynjolfsson, Li and Raymond, *Generative AI at Work*, NBER WP 31161	2023	About 5,000 support agents; 13.8% more issues resolved per hour with an AI assistant; about 35% for novice agents; lower attrition
McKinsey, *The economic potential of generative AI*	Jun 2023	Customer care productivity gains worth 30–45% of current function costs; human-serviced contacts could fall by up to 50%
Gartner customer survey	Jul 2024	64% prefer companies did not use AI for service; 53% would consider switching
Moffatt v. Air Canada, BC Civil Resolution Tribunal	Feb 2024	Airline liable for its chatbot's incorrect bereavement-fare advice; argument that the chatbot was a separate entity rejected
Car dealership chatbot, California	Dec 2023	User prompted the website chatbot to 'agree' to sell a new SUV for $1 as a 'legally binding offer'

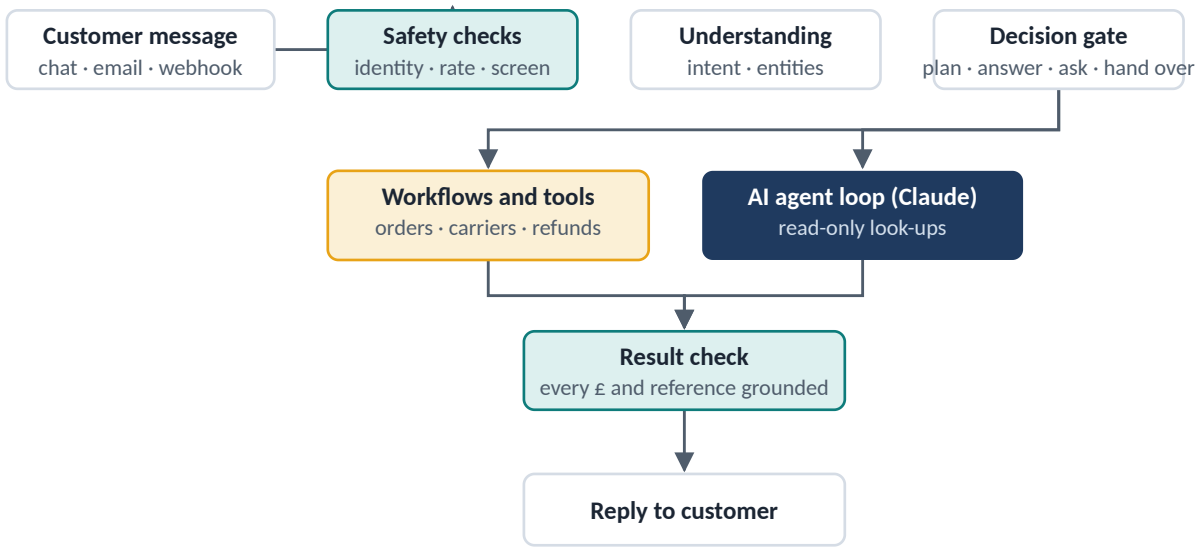
Source: Klarna announcement as reported by VKTR; NBER Digest; McKinsey figures as quoted by Execs In The Know; Gartner press release, 9 July 2024; American Bar Association summary of Moffatt v. Air Canada; DailyAI.

EXHIBIT 15 · OPTIONS AS COSTED BY RETAILCO STAFF, SEPTEMBER 2024

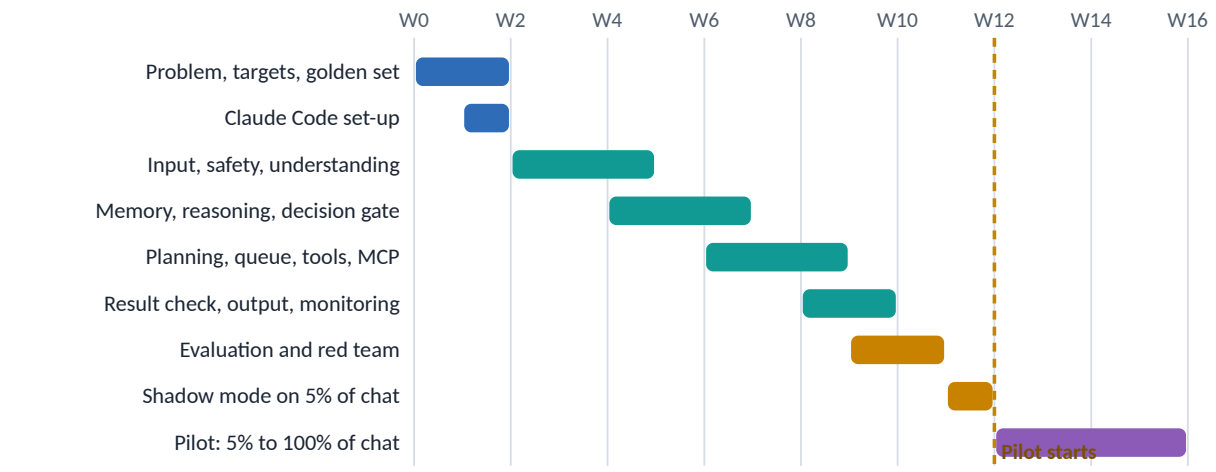
Option	Cost estimate	Time to impact	Takes actions?	Reversibility	Champion
A. Hire 40 agents	+£1.1M a year	5 months	Yes (people)	Medium	Workforce planning
B. Outsource tier-1	£0.38 per contact; 3-year contract	4 months	Yes (people, scripted)	Low	Martin Hale
C. Scripted chatbot	£180k a year licence	2 months	No	High	Helpdesk vendor
D. Build AI agent (Claude)	£350k build, year one; target < £0.15 per contact	12 weeks to pilot	Yes, within coded limits	High	Daniel Reyes
E. Buy AI agent platform	£0.60–£0.95 per resolution	3–6 months	Yes, vendor-controlled	Medium	Two vendors

Source: Internal estimates prepared for the board paper; not independently verified.

EXHIBIT 16 · EXTRACT FROM DANIEL REYES'S PROPOSAL (OPTION D)



16a Proposed design. Guards check every action the agent takes; every request is traced; one switch stops all write actions.



16b Build and pilot plan in weeks.

Item	Estimate
Team	5 engineers (2 back-end, 1 data, 1 platform, 1 QA) plus 2 senior agents part-time
Build cost, year one	£350k including model usage in testing
Running cost target	below £0.15 per contact handled
Models	Fast model for classification; mid-tier model for reasoning and replies; strongest model for evaluation

Source: Proposal by the CTO to the Director of Customer Operations, 16 September 2024.

EXHIBIT 17 · MEMO FROM THE HEAD OF RISK AND COMPLIANCE

To: Priya Raman · **From:** Fiona Okafor · **Date:** 19 September 2024 · **Re:** Conditions for any AI option

Priya, I support improving service with automation, on five conditions. They apply whichever supplier or design we choose.

1. **Data separation.** No customer may ever see another customer's data, however the request is worded.
2. **Money.** Refunds above £200 must still be approved by a named person.

3. **Traceability.** For any conversation, we must be able to show afterwards what the system was told, what it looked up, what it decided and why.
4. **Disclosure.** Customers must be told they are talking to an AI assistant, and how to reach a person.
5. **Control.** We must be able to stop the system taking any action immediately, without a code release.

Please note the Air Canada decision, attached: the tribunal held the company responsible for what its chatbot told a customer. We should assume the same of anything our system says. I would also like to understand where customer data is processed under each option, for our UK GDPR records.

EXHIBIT 18 · THE PEOPLE

Name	Role	Position in September 2024
Andrew Whitfield	Chief Executive and co-founder	Wants one recommendation; fears public embarrassment
Claire Dunmore	Chief Customer Officer and co-founder	Championed the guarantee; worried about customer attitudes to AI
Priya Raman	Director of Customer Operations	Owns the decision and the board paper
Martin Hale	Chief Financial Officer	Wants cost certainty, payback and an exit; leans to B
Daniel Reyes	Chief Technology Officer	Proposes D; unsure how to define 'good enough'
Rob Ellis	Chief Operating Officer	Owns warehouses and the carrier contracts
Fiona Okafor	Head of Risk and Compliance	Five conditions for any AI option
Tom Barker	Senior Team Leader	Speaks for the floor; wants honesty about jobs
Aisha	Agent, eight months' service	Represents the front line

Solinexta AI Press · Starting brief for Build a Production AI Agent with Claude Code